

Americas Energy & Transition

Americas Power & Energy Transition: Section 232 Tariffs - win for US Solar, proof will be in the exemptions.



Sunaina Ocalan
+1 917 344 8503
sunaina.ocalan@bernsteinsg.com



Raphael Lee
+1 917 344 8355
raphael.lee@bernsteinsg.com

Section 232 Tariffs on Polysilicon and Derivatives were announced this evening, and are effective from December 4, 2026.

Key Takeaways:

The policy effectively establishes a **\$0.38/W module floor**, meaning sub-floor imported modules face an offsetting specific duty when the certification conditions are not met. That is a much stronger market intervention than a conventional percentage tariff alone.

It provides the clearest direct support to the domestic upstream-to-cell chain—particularly U.S. polysilicon, wafer/ingot, cell, and module investments—while raising procurement/compliance risk for import-reliant module assemblers, developers, and EPCs.

The tariff and MIP are cumulative where applicable, so landed-cost impact can materially exceed 15% for low-priced supply. Treatment of grandfathered contracts, downstream-sale certifications, related-party transfers, and HTS classification will be central implementation variables.

Anti-stockpiling: Commerce directed to restrict imports by companies front-running December 4.

We view the directive as establishing a minimum solar panel price, and direct support for US manufacturing - which is positive for FSLR and TE and other manufacturers with US operations (Canadian Solar, QCells - not in coverage). We see this having a higher cost impact on developers such as NEE, and other utilities/ IPPs developing solar projects.

That said, the proof will be in the exemptions that are taken by establishing a US facility.

The proclamation creates a **two-layer Section 232 import regime** for polysilicon and the core crystalline-silicon solar supply chain, effective **December 4, 2026**: a minimum-import-price backstop or floor plus an additional tariff on ingots, wafers, cells, and modules. It is designed to establish a protected U.S. pricing environment, paired with tariff relief for approved domestic-manufacturing investments.

COVERED PRODUCTS AND NUMBERS FROM THE PROCLAMATION

The applicable minimum import prices for imported polysilicon and polysilicon derivatives shall be:

- (i) \$21 per kilogram for polysilicon;
- (ii) \$100 per kilogram for polysilicon ingots and wafers;
- (iii) \$0.22 per watt for solar cells; and
- (iv) \$0.38 per watt for solar modules

HOW THE MIP WORKS

- An importer must certify at entry that the first arm's-length U.S. sale—of the imported product or, where relevant, downstream output—will occur at or above the applicable floor; pre-August 6, 2026 fixed-term contracts receive an alternative documentation path
- If the importer does not provide required documentation, CBP assesses a **specific duty equal to the full MIP**. If documentation is supplied but entered value is below the MIP, the specific duty equals the **shortfall to the floor**
- The enforcement risk is unusually severe: material misstatements or noncompliance with a certification can result in a **permanent import ban for the importer and affiliates**, in addition to potential penalties
- Practical impact: **a floor on entered value at the border**, regardless of resale intent

TARIFF OVERLAY AND COUNTRY TREATMENT

The proclamation adds a **15% ad valorem Section 232 duty** to covered ingots, wafers, cells, and modules; raw polysilicon is subject to the MIP mechanism but is not listed in the new 15% tariff headings. The tariff is additive to other applicable duties, taxes, and trade remedies

- **Japan, South Korea, Taiwan, Switzerland, Liechtenstein, and EU member states:** Column 1 duty plus the new Section 232 duty is capped at a combined 15%.
- **United Kingdom:** an additional 10% rate applies
- **All other origins:** the normal tariff structure is generally the base HTS duty plus 15%, on top of any other applicable measures

EXEMPTIONS

The proclamation is meant to incentivize onshoring of solar manufacturing. Per the proclamation: Any onshoring plan shall include: a commitment, if the plan is approved, to build, refurbish, or expand a facility in the United States that will produce Covered Products; a commitment that **construction will start by January 20, 2029**; and any other relevant information and analysis, including requirements set by the Secretary.

If the onshoring plans are approved, the company will be allowed to import necessary production equipment and covered products without paying the Section 232 duties.

INVESTMENT IMPLICATIONS

We are Underperform on FSLR with a TP of \$197

We are Market-Perform on T1 with a TP of \$9

We are Outperform on NEE with a TP of \$108

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Aug 2026	Price	TTM	Cur	Reported EPS			Reported P/E (x)		
			Closing	Target	Rel. Perf.		2025A	2026E	2027E	2025A	2026E	2027E
FSLR (First Solar)	U	USD	244.14	197.00	10.4%	USD	14.21	16.26	19.96	17.2	15.0	12.2
TE (T1 Energy)	M	USD	5.55	9.00	322.5%	USD	(2.19)	(0.31)	(0.07)	(2.5)	(17.7)	(77.2)
NEE (NextEra Energy)	O	USD	84.60	108.00	(1.6)%	USD	3.71	4.31	4.49	22.8	19.6	18.9
SPX			7,709.96									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

NEE estimate is Adjusted EPS; NEE valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**First Solar, Inc.**

We use a SOTP valuation applying 1) a 9x multiple on gross margin without tax credits, 2) Tax credits phasing out starting in 2030 3) a 10% discount rate on backlog, 4) a 12% discount rate on TOPCon licensing as an option, and 5) we add a probability weighted cash component. We arrive at a target price of \$197/sh.

T1 Energy Inc.

We use an 8x multiple on probability weighted 2030 EBITDA of \$690MM in the bull case (30%), \$560MM in the base case (40%) and \$280MM in the bear case (30%) to arrive at a target price of \$9/sh.

NextEra Energy Inc

We blend a DCF valuation on FPL using a 2% growth rate and 6% discount rate on FPL's regulated earnings, with a 14x EV/ EBITDA multiple on NEER 2027-28 EBITDA of \$12.1B to arrive at a combined target price of \$108/sh.

RISKS**First Solar, Inc.**

Upside risks to our price target include 1) the extension of 45x tax credits beyond 2030, 2) A favorable outcome to the TOPCon patent action against C-Si competitors to FSLR in the U.S. and 3) Commercialization of perovskite solar cells or significant improvement in panel efficiency driving margin improvement.

T1 Energy Inc.

Key downside risks to our price target include an unfavorable outcome from the TOPCon suit, lower future capacity expansion or lower utilization, and continued tariff risk on imports. Upside risks include stronger uncontracted margins and successful expansion of future facilities.

NextEra Energy Inc

Key downside risks to our price target include FPL returns falling short of the midpoint of guidance, lower overall power demand growth dampening NEER generation, and supply chain risks from higher than expected tariff exposure.

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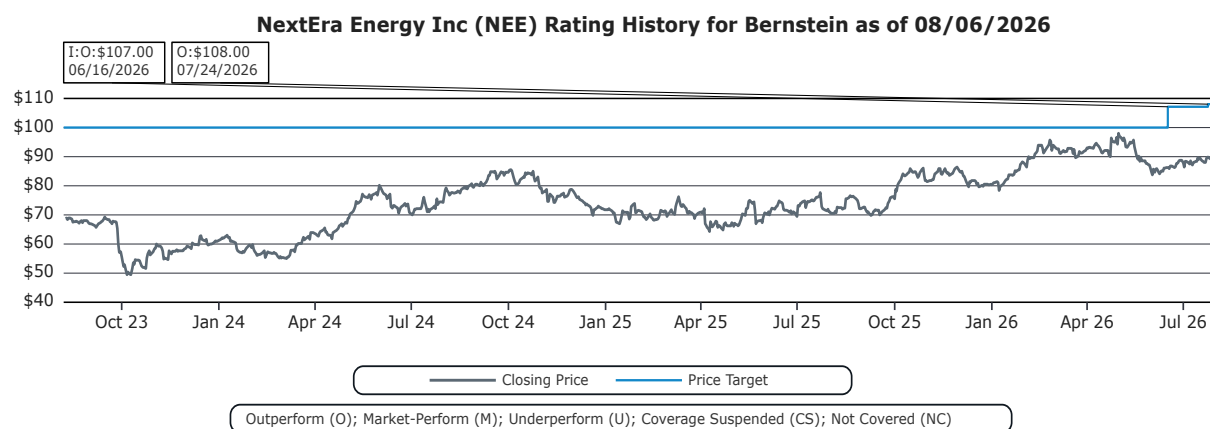
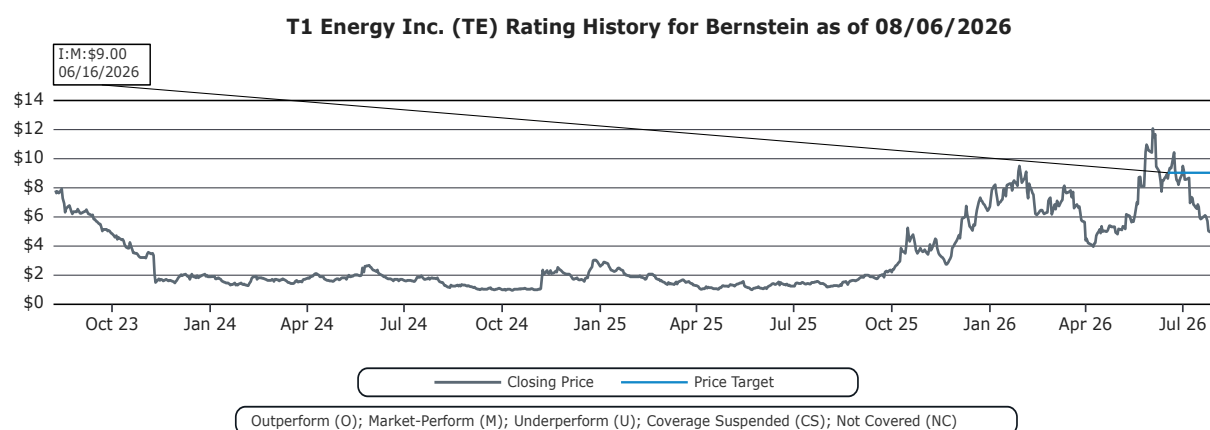
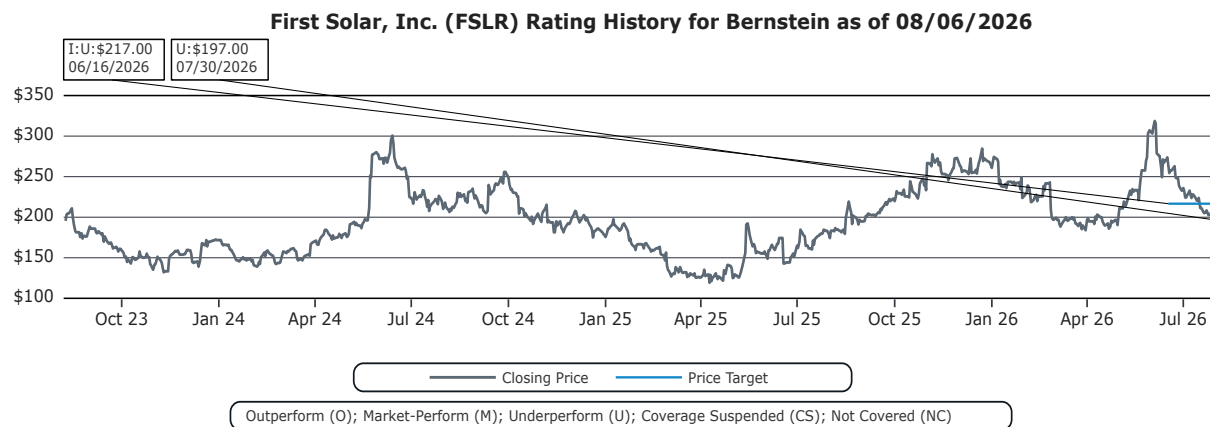
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Underperform	SELL	13.1%	13.6%

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